

# Conflict Minerals Policy

Since our incorporation in 1989, the Scolmore Group has become a significant force in the electrical accessory market.

We're proud to be a British, family-run business, with an excellent track record of listening to what our customers need and providing the right solution every time.

The Company is very much built on people. Each individual makes a unique contribution to the business and its customers.

"Our long-term *business* success and continuous growth is only possible by operating responsibly in alignment with universal standards."

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## 1 INTRODUCTION

In politically unstable areas, the minerals trade can be used to finance armed groups, fuel human rights abuses, such as forced labour, and support corruption and money laundering.

These so-called '**conflict minerals**' such as **tin, tungsten, tantalum** and **gold**, also referred to as **3TG**, are crucial in the components of many other consumers electronic products and have applications in aerospace, automotive, medical and other sectors. They can be used in everyday products such as mobile phones, cars or jewellery.

A growing body of research suggests that these risks are associated with a variety of metals and minerals that extend beyond the 3TG, for instance, cobalt, lithium and mica to name a few, which are particularly relevant in the manufacture of batteries and battery components. Governments, non-governmental organisations (NGOs), investors, customers and other industry stakeholders have increasing expectations on the private sector to drive responsible behaviour deep into their supply chains.

At Scolmore, we are committed to conducting business in a responsible and sustainable way and require the same of our workforce, suppliers, contractors and other business partners.

The purpose of this Policy is to avoid contributing to conflict through our sourcing decisions, while constructively engaging with our supply chain.

## 2 LEGAL LANDSCAPE OUTLINE

In 2010 the US passed legislation, known as the **Dodd Frank Act Section 1502** which requires US-listed companies to carry out due diligence on minerals sourced from the Democratic Republic of

Congo and neighbouring countries (Angola, Burundi, Central African Rep., Rep. of Congo, Rwanda, South Sudan, Tanzania, Uganda, Zambia)<sup>1</sup>.

The leading international standard for conflict mineral supply chain due diligence was developed by the Organisation for Economic Cooperation and Development (OECD), which translates the UN Guiding Principles of Business and Human Rights into a practical five-step framework for all companies.

In 2017 the EU passed the Regulation 821 on Conflict Minerals and its requirements which began to apply to importers of covered minerals as of 1 January 2021.

The EU regulation only applies **directly** to EU-based importers of tin, tantalum, tungsten and gold, whether these are in the form of mineral ores, concentrates or processed metals.

**Indirectly**, it promotes the responsible sourcing of smelters and refiners of tin, tantalum, tungsten and gold, whether they are based inside the EU or not.

Similarly, the new EU Battery Regulation (EU 2023/1542) imposes due diligence obligations on businesses, aimed at identifying, preventing and addressing social and environmental risks linked to the sourcing, processing and trading of raw materials such as lithium, cobalt, nickel and natural graphite contained in batteries.

The EU legal landscape requires importers to report due diligence activities and the origins of the minerals they use in their product-manufacturing.

The above EU Regulation did not become retained EU law in Great Britain, and only applies to importers in Northern Ireland as per Northern Ireland Protocol; however the UK Government strongly encourages businesses in Great Britain to voluntarily adhere to the OECD Due Diligence Guidance to prevent human rights abuses.

## 2.1 UPSTREAM AND DOWNSTREAM

Production of goods often involves many different companies engaged in various types of activity along the supply chain.

Firms that extract, process and refine raw materials are called '**upstream**' companies. The [821/2017](#) EU regulation identifies as upstream companies:

- mining companies;
- raw material traders;
- smelters, and;
- refiners.

Other supply chain participants, which are called '**downstream**' companies, further process metals produced during the upstream stage into a finished product.

The downstream stage includes the sale of the product to other businesses, governments or private individuals.

The EU regulation sets out different rules for upstream and for downstream companies:

**Upstream companies** have to comply with mandatory rules on due diligence when they import, as this part of the supply chain holds the most risk.

**Downstream companies** fall into two categories: **a.** those importing metal-stage products also have to meet mandatory due diligence rules, and; **b.-** those operating beyond the metal stage do not have obligations under the current regulations, but they are expected to use reporting and other tools to make their due diligence more transparent.

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<sup>1</sup> Conflict minerals can be extracted at many different locations around the world including the Democratic Republic of Congo (DRC). The SEC (U.S. Securities and Exchange Commission) rules define conflict minerals as 3TG metals, wherever extracted. For example, tin extracted in Canada, Russia or Argentina is considered a conflict mineral by definition. In the SEC rule, "DRC conflict-free" is defined as minerals that were extracted and did not directly or indirectly benefit armed groups in the covered countries. Therefore, tin extracted from Canada is considered "DRC conflict-free" under the definitions of the SEC rule.

### 3 SCOPE

Scolmore does not directly purchase or import any conflict minerals from any source as raw materials. We do, however source finished products which might contain 3TG (i.e tin, tungsten, tantalum and gold), lithium, cobalt, nickel and natural graphite.

As a **Downstream** Group of companies operating beyond the metal stage, Scolmore is not required by law to comply with conflict minerals regulations and report conflict minerals sources.

Although not directly applicable to Scolmore, the Group has taken steps to support customers who must address the requirements of conflict minerals regulations.

At this stage, investigations conducted with our suppliers have confirmed that any products we sell are free from conflict minerals.

Scolmore's Conflict Minerals policy has been introduced in line with the principles informing the current legal landscape and in compliance with the OECD [\*Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas\*](#).

This policy is intended to give our employees, suppliers, contractors and other business partners guidance on Scolmore's approach to conflict minerals and the measures that we have taken in order to respect human rights and avoid contributing to conflict when sourcing minerals, metals or products incorporating metals.

#### 3.1 EXCLUSIONS

The present policy does not apply to overhead suppliers, i.e. suppliers of products or services related to the ongoing costs of operating a business.

### 4 SCOLMORE'S COMMITMENT

Scolmore supports the efforts of human rights organisations to end violence and atrocities associated with the trade in conflict minerals. We are committed to ethical practices and seek to keep our supply chain and products free from conflict minerals and other unethically produced materials.

In compliance with the above fundamental principles, we will:

- Raise awareness of the issue of conflict minerals in our supply chains.
- Provide induction and training to all staff directly involved with the supply chain as well as the Legal & Compliance department, addressing the objectives of this policy.
- Perform due diligence and communicate the objectives of this policy and the risk of conflict minerals in supply chains to all tier-1 suppliers and other business partners as deemed appropriate.
- Regularly assess our supply chain directly and/or through independent auditors.
- Engage only with business partners committed to the same principles.
- Implement mitigation activities to address supply chain risks that may arise.
- Review annually the effectiveness of the present policy.

#### 4.1 RESPONSIBILITIES

It is the responsibility of all employees directly involved with the supply chain, under the guidance and with the support of the Legal & Compliance department, to comply with this policy and ensure that our tier-1 suppliers and their own supply chains, manufacture the products supplied to Scolmore with minerals that are free from conflict and ethically produced.

The Board of Directors has overall responsibility for ensuring that this policy complies with our legal and ethical obligations, and that all those under our control comply with it.

The Technical Director, under the guidance of the Group Legal and Compliance Manager, is responsible for implementing this policy, monitoring its use and effectiveness, dealing with any queries and auditing internal control systems and procedures to ensure they are effective in countering conflict minerals.

Management at all levels are responsible for ensuring that those reporting to them and directly involved with our supply chain, understand and comply with this policy and are given appropriate and regular training on it and the issue of conflict minerals.

#### 4.2 TIER-1 SUPPLIERS

We expect all our tier-1 suppliers to:

- implement due diligence processes to identify and verify the sources of 3TG (i.e tin, tungsten, tantalum and gold), cobalt, lithium, mica, nickel and natural graphite contained in their products
- adhere to Scolmore's ethical standards as defined in the Scolmore Group Supplier Code of Conduct as well as in the Scolmore Group Code of Ethics. The latest editions are available on our website [www.scolmore.com](http://www.scolmore.com)
- review all aspects and risks associated to their supply chain on a regular basis
- provide, on request, information regarding in scope mineral/metal country of origin as well as smelter and refiners being utilised, via the Responsible Minerals Initiative's relevant Reporting Templates, including, but not limited to:
  - [Conflict Minerals Reporting Template \(CMRT\)](#)
  - [Extended Minerals Reporting Template \(EMRT\)](#)
- regularly assess their supply chain directly and/or through independent auditors in line with the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas

#### 4.3 KEY PERFORMANCE INDICATORS

The Scolmore Group have identified the following key performance indicators (KPIs):

- 100% of active tier-1 suppliers to provide information regarding mineral/metals in scope of this policy by 2026.
- 95% of relevant staff to have completed in the previous 2 years' training on conflict minerals at any given time.

#### 5 SPEAK UP

Scolmore Group encourages all its workforce, suppliers and other business partners to report any concerns related to the implementation of this policy by contacting the Group Legal and Compliance department at [compliance@scolmore.com](mailto:compliance@scolmore.com)

A [Speak Up Line](#) operated via Microsoft Forms, set up in anonymous mode is also available. The Group Legal and Compliance Manager is the only administrator and recipient of any reports submitted via this line.

#### 6 REVISION AND APPROVAL

This policy will be reviewed annually and may be amended at any time.



Mark Flanagan  
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